Form **3115** (Rev. December 2022) Department of the Treasury Internal Revenue Service

Application for Change in Accounting Method

Go to *www.irs.gov/Form3115* for instructions and the latest information.

OMB No. 1545-2070

Attachment Sequence No. **315**

Name of filer (name of parent corporation if a consolidated group) (see instructions) Fairfax Genesee Partners & Associates LP	**Identification number** (see instructions) 11-3233403
	Principal business activity code number (see instructions) 531110
Number, street, and room or suite no. If a P.O. box, see the instructions. 737 S. Genesee Avenue	Tax year of change begins (MM/DD/YYYY) 1/1/2025 Tax year of change ends (MM/DD/YYYY) 12/31/2025
City or town, state, and ZIP code Los Angeles, CA 90036	Name of contact person (see instructions)
Name of applicant(s) (if different than filer) and identification number(s) (see instructions)	Contact person's telephone number

Does the filer want to receive a copy of the change in method of accounting letter ruling or other correspondence related to this Form 3115 by fax or encrypted email attachment? If "Yes," see instructions . . . . ☐ **Yes** ☐ **No**

If the applicant is a member of a consolidated group, check this box . . . . ☐

If **Form 2848**, Power of Attorney and Declaration of Representative, is attached (see instructions for when Form 2848 is required), check this box . . . . ☐

Check the box to indicate the type of applicant.

- ☐ Individual
- ☐ Corporation
- ☐ Controlled foreign corporation (Sec. 957)
- ☐ 10/50 corporation (Sec. 904(d)(2)(E))
- ☐ Qualified personal service corporation (Sec. 448(d)(2))
- ☐ Exempt organization. Enter Code section:
- ☐ Cooperative (Sec. 1381)
- ☑ Partnership
- ☐ S corporation
- ☐ Insurance co. (Sec. 816(a))
- ☐ Insurance co. (Sec. 831)
- ☐ Other (specify):

Check the appropriate box to indicate the type of accounting method change being requested. See instructions.

- ☑ Depreciation or Amortization
- ☐ Financial Products and/or Financial Activities of Financial Institutions
- ☐ Other (specify):

Caution: To be eligible for approval of the requested change in method of accounting, the taxpayer must provide all information that is relevant to the taxpayer or to the taxpayer's requested change in method of accounting. This includes (**1**) all relevant information requested on this Form 3115 (including its instructions), and (**2**) any other relevant information, even if not specifically requested on Form 3115.

The taxpayer must attach all applicable statements requested throughout this form.

Part I Information for Automatic Change Request

		Yes	No
1	Enter the applicable designated automatic accounting method change number ("DCN") for the requested automatic change. Enter only one DCN, except as provided for in guidance published by the IRS. If the requested change has no DCN, check "Other," and provide both a description of the change and a citation of the IRS guidance providing the automatic change. See instructions.		
a	(1) DCN: 7 (2) DCN: ___ (3) DCN: ___ (4) DCN: ___ (5) DCN: ___ (6) DCN: ___ (7) DCN: ___ (8) DCN: ___ (9) DCN: ___ (10) DCN: ___ (11) DCN: ___ (12) DCN: ___		
b	Other ☐ Description:		
2	Do any of the eligibility rules restrict the applicant from filing the requested change using the automatic change procedures (see instructions)? If "Yes," attach an explanation	☐	✔
3	Has the filer provided all the information and statements required (**a**) on this form and (**b**) by the List of Automatic Changes under which the applicant is requesting a change? See instructions	✔	☐
	Note: Complete Part II and Part IV of this form, and, Schedules A through E, if applicable.		

Part II Information for All Requests

		Yes	No
4	During the tax year of change, did or will the applicant (**a**) cease to engage in the trade or business to which the requested change relates, or (**b**) terminate its existence? See instructions	☐	✔
5	Is the applicant requesting to change to the principal method in the tax year of change under Regulations section 1.381(c)(4)-1(d)(1) or 1.381(c)(5)-1(d)(1)? . . . . If "No," go to line 6a. If "Yes," the applicant cannot file a Form 3115 for this change. See instructions.	☐	✔

Sign Here

Under penalties of perjury, I declare that I have examined this application, including accompanying schedules and statements, and to the best of my knowledge and belief, the application contains all the relevant facts relating to the application, and it is true, correct, and complete. Declaration of preparer (other than applicant) is based on all information of which preparer has any knowledge.

Signature of filer (and spouse, if joint return)	Date	Name and title (print or type)

Preparer (other than filer/applicant)

Print/Type preparer's name	Preparer's signature	Date
Firm's name		

Part II **Information for All Requests** (*continued*)		Yes	No
6a	Does the applicant (or any present or former consolidated group in which the applicant was a member during the applicable tax year(s)) have any federal income tax return(s) under examination (see instructions)? If "No," go to line 7a.	☐	✔
b	Is the method of accounting the applicant is requesting to change an issue under consideration (with respect to either the applicant or any present or former consolidated group in which the applicant was a member during the applicable tax year(s))? See instructions	☐	☐
c	Enter the name and telephone number of the examining agent and the tax year(s) under examination. Name ______ Telephone number ______ Tax year(s) ______		
d	Has a copy of this Form 3115 been provided to the examining agent identified on line 6c?	☐	☐
7a	Does audit protection apply to the applicant's requested change in method of accounting? See instructions. If "No," attach an explanation.	✔	☐
b	If "Yes," check the applicable box and attach the required statement. ☑ Not under exam ☐ 3-month window ☐ 120 day: Date examination ended ______ ☐ Method not before director ☐ Negative adjustment ☐ CAP: Date member joined group ______ ☐ Audit protection at end of exam ☐ Other		
8a	Does the applicant (or any present or former consolidated group in which the applicant was a member during the applicable tax year(s)) have any federal income tax return(s) before Appeals and/or a federal court? If "No," go to line 9.	☐	✔
b	Is the method of accounting the applicant is requesting to change an issue under consideration by Appeals and/or a federal court (for either the applicant or any present or former consolidated group in which the applicant was a member for the tax year(s) the applicant was a member)? See instructions. If "Yes," attach an explanation.	☐	☐
c	If "Yes," enter the name of the (check the box) ☐ Appeals officer and/or ☐ counsel for the government, telephone number, and the tax year(s) before Appeals and/or a federal court. Name ______ Telephone number ______ Tax year(s) ______		
d	Has a copy of this Form 3115 been provided to the Appeals officer and/or counsel for the government identified on line 8c?	☐	☐
9	If the applicant answered "Yes" to line 6a and/or 8a with respect to any present or former consolidated group, attach a statement that provides each parent corporation's (**a**) name, (**b**) identification number, (**c**) address, and (**d**) tax year(s) during which the applicant was a member that is under examination, before an Appeals office, and/or before a federal court.		
10	If for federal income tax purposes, the applicant is either an entity (including a limited liability company) treated as a partnership or an S corporation, is it requesting a change from a method of accounting that is an issue under consideration in an examination, before Appeals, or before a federal court, with respect to a federal income tax return of a partner, member, or shareholder of that entity?	☐	✔
11a	Has the applicant, its predecessor, or a related party requested or made (under either an automatic or non-automatic change procedure) a change in method of accounting within any of the 5 tax years ending with the tax year of change? If "No," go to line 12.	☐	✔
b	If "Yes," for each trade or business, attach a description of each requested change in method of accounting (including the tax year of change) and state whether the applicant received consent.		
c	If any application was withdrawn, not perfected, or denied, or if a Consent Agreement granting a change was not signed and returned to the IRS, or the change was not made or not made in the requested year of change, attach an explanation.		
12	Does the applicant, its predecessor, or a related party currently have pending any request (including any concurrently filed request) for a private letter ruling, change in method of accounting, or technical advice?	☐	✔
	If "Yes," for each request attach a statement providing (**a**) the name(s) of the taxpayer, (**b**) identification number(s), (**c**) the type of request (private letter ruling, change in method of accounting, or technical advice), and (**d**) the specific issue(s) in the request(s).		
13	Is the applicant requesting to change its **overall** method of accounting? If "Yes," complete Schedule A on page 4 of the form.	☐	✔

Part II	**Information for All Requests** (*continued*)	**Yes**	**No**

14 If the applicant is either (**i**) **not** changing its overall method of accounting, or (**ii**) changing its overall method of accounting **and** changing to a special method of accounting for one or more items, attach a detailed and complete description for each of the following (see instructions):

a The item(s) being changed.

b The applicant's present method for the item(s) being changed.

c The applicant's proposed method for the item(s) being changed.

d The applicant's present overall method of accounting (cash, accrual, or hybrid).

15a Attach a detailed and complete description of the applicant's trade(s) or business(es). See section 446(d).

b If the applicant has more than one trade or business, as defined in Regulations section 1.446-1(d), describe (**i**) whether each trade or business is accounted for separately; (**ii**) the goods and services provided by each trade or business and any other types of activities engaged in that generate gross income; (**iii**) the overall method of accounting for each trade or business; and (**iv**) which trade or business is requesting to change its accounting method as part of this application or a separate application.

Note: If you are requesting an automatic method change, see the instructions to see if you are required to complete lines 16a–16c.

16a Attach a full explanation of the legal basis supporting the proposed method for the item being changed. Include a detailed and complete description of the facts that explains how the law specifically applies to the applicant's situation and that demonstrates that the applicant is authorized to use the proposed method.

b Include all authority (statutes, regulations, published rulings, court cases, etc.) supporting the proposed method.

c Include either a discussion of the contrary authorities or a statement that no contrary authority exists.

17 Will the proposed method of accounting be used for the applicant's books and records and financial statements? For insurance companies, see the instructions . . . . ✔ Yes ☐ No
If "No," attach an explanation.

18 Does the applicant request a conference with the IRS National Office if the IRS National Office proposes an adverse response? . . . . ✔ Yes ☐ No

19a If the applicant is changing to either the overall cash method, an overall accrual method, or is changing its method of accounting for any property subject to section 263A, any long-term contract subject to section 460 (see 19b), or inventories subject to section 471 or 474, enter the applicant's gross receipts for the 3 tax years preceding the tax year of change.

1st preceding year ended: mo. yr.	2nd preceding year ended: mo. yr.	3rd preceding year ended: mo. yr.
$	$	$

b If the applicant is changing its method of accounting for any long-term contract subject to section 460, in addition to completing 19a, enter the applicant's gross receipts for the 4th tax year preceding the tax year of change:
4th preceding year ended: mo. ________ yr. ____ $ ____________

Part III	**Information for Non-Automatic Change Request**	**Yes**	**No**

20 Is the applicant's requested change described in any revenue procedure, revenue ruling, notice, regulation, or other published guidance as an automatic change request? . . . . ☐ Yes ☐ No
If "Yes," attach an explanation describing why the applicant is submitting its request under the non-automatic change procedures.

21 Attach a copy of all documents related to the proposed change (see instructions).

22 Attach a statement of the applicant's reasons for the proposed change.

23 If the applicant is a member of a consolidated group for the year of change, do all other members of the consolidated group use the proposed method of accounting for the item being changed? . . . . ☐ Yes ☐ No
If "No," attach an explanation.

24a Enter the amount of **user fee** attached to this application (see instructions) . . . . . . $ ____________

b If the applicant qualifies for a reduced user fee, attach the required information or certification (see instructions).

Part IV Section 481(a) Adjustment

		Yes	No
25	Does published guidance require the applicant (or permit the applicant and the applicant is electing) to implement the requested change in method of accounting on a cut-off basis? If "Yes," attach an explanation and do not complete lines 26, 27, 28, and 29 below.	☐	✔
26	Enter the section 481(a) adjustment. Indicate whether the adjustment is an increase (+) or a decrease (-) in income. $ -$144,998 Attach a summary of the computation and an explanation of the methodology used to determine the section 481(a) adjustment. If it is based on more than one component, show the computation for each component. If the applicant waived any deductions with respect to the method of accounting pursuant to Regulations section 1.59A-3(c)(6)(i), include a summary of the waived deductions. If more than one applicant is applying for the method change on the application, attach a list of the (**a**) name, (**b**) identification number, and (**c**) the amount of the section 481(a) adjustment attributable to each applicant.		
27	Is the applicant required to take into account in the year of change any remaining portion of a section 481(a) adjustment from a prior change (see instructions)? If "Yes," enter the amount. $ ________	☐	☐
28	Is the applicant making an election to take the entire amount of the adjustment into account in the tax year of change? If "Yes," check the box for the applicable elective provision used to make the election (see instructions). ☐ $50,000 de minimis election ☐ Eligible acquisition transaction election	☐	✔
29	Is any part of the section 481(a) adjustment attributable to transactions between members of an affiliated group, a consolidated group, a controlled group, or other related parties? If "Yes," attach an explanation.	☐	✔

Schedule A—Change in Overall Method of Accounting (If Schedule A applies, Part I below must be completed.)

Part I Change in Overall Method (see instructions)

1 Check the appropriate boxes below to indicate the applicant's present and proposed methods of accounting.

Present method: ☐ Cash ☐ Accrual ☐ Hybrid (attach description)

Proposed method: ☐ Cash ☐ Accrual ☐ Hybrid (attach description)

2 Enter the following amounts as of the close of the tax year preceding the year of change. If none, state "None." Also, attach a statement providing a breakdown of the amounts entered on lines 2a through 2g.

		Amount
a	Income accrued but not received (such as accounts receivable)	$
b	Income received or reported before it was earned (such as advanced payments). Attach a description of the income and the legal basis for the proposed method	
c	Expenses accrued but not paid (such as accounts payable)	
d	Prepaid expenses previously deducted	
e	Supplies on hand previously deducted and/or not previously reported	
f	Inventory on hand previously deducted and/or not previously reported. Complete Schedule D, Part II	
g	Other amounts (specify). Attach a description of the item and the legal basis for its inclusion in the calculation of the section 481(a) adjustment.	
h	**Net section 481(a) adjustment** (Combine lines 2a–2g.) Indicate whether the adjustment is an increase (+) or decrease (-) in income. Also enter the net amount of this section 481(a) adjustment amount on Part IV, line 26	$

3 Is the applicant also requesting the recurring item exception under section 461(h)(3)? ☐ Yes ☑ No

4 Attach copies of the profit and loss statement (Schedule F (Form 1040) for farmers) and the balance sheet, if applicable, as of the close of the tax year preceding the year of change. Also attach a statement specifying the accounting method used when preparing the balance sheet. If books of account are not kept, attach a copy of the business schedules submitted with the federal income tax return or other return (such as tax-exempt organization returns) for that period. If the amounts in Part I, lines 2a through 2g, do not agree with the amounts shown on the balance sheet, attach a statement explaining the differences.

5 Is the applicant making a change to the overall cash method or to a method in which a taxpayer uses an accrual method for purchases and sales of inventory and uses the cash method for computing all other items of income and expense (see instructions)? ☐ Yes ☑ No

Part II Change to the Cash Method for Non-Automatic Change Request (see instructions)

Applicants requesting a change to the cash method must attach the following information:

1 A description of inventory items (items whose production, purchase, or sale is an income-producing factor) and materials and supplies used in carrying out the business.

2 An explanation as to whether the applicant is required to use an accrual method under any section of the Code or regulations.

Schedule B—Changes Related to the Deferral Method for Advance Payments, Cost Offset Methods, and/or the Applicable Financial Statement Income Inclusion Rule (see instructions)

1 If the applicant is requesting to change to the deferral method for advance payments under Regulations section 1.451-8(c) or (d), as described in the instructions, attach the information specified in the instructions.

2 If the applicant is requesting to change to or within a cost offset method under Regulations section 1.451-3(c) and/or Regulations section 1.451-8(e), as described in the instructions, attach the information specified in the instructions.

3 If the applicant is requesting to change to or within a method to conform to the applicable financial statement (AFS) income inclusion rule under section 451(b) and Regulations section 1.451-3, as described in the instructions, attach a detailed description of the proposed method including the information specified in the instructions.

Schedule C—Changes Within the LIFO Inventory Method (see instructions)

Part I General LIFO Information

Complete this section if the requested change involves changes within the LIFO inventory method. Also, attach a copy of all **Forms 970**, Application To Use LIFO Inventory Method, filed to adopt or expand the use of the LIFO method.

1 Attach a description of the applicant's present and proposed LIFO methods and submethods for each of the following items:

a Valuing inventory (for example, unit method or dollar-value method).

b Pooling (for example, by line or type or class of goods, natural business unit, multiple pools, raw material content, simplified dollar-value method, inventory price index computation (IPIC) pools, vehicle-pool method, etc.).

c Pricing dollar-value pools (for example, double-extension, index, link-chain, link-chain index, IPIC method, etc.).

d Determining the current-year cost of goods in the ending inventory (such as, most recent acquisitions, earliest acquisitions during the current year, average cost of current-year acquisitions, rolling-average cost, or other permitted method).

2 If any present method or submethod used by the applicant is not the same as indicated on Form(s) 970 filed to adopt or expand the use of the method, attach an explanation.

3 If the proposed change is not requested for all the LIFO inventory, attach a statement specifying the inventory to which the change is and is not applicable.

4 If the proposed change is not requested for all of the LIFO pools, attach a statement specifying the LIFO pool(s) to which the change is applicable.

5 Attach a statement addressing whether the applicant values any of its LIFO inventory on a method other than cost. For example, if the applicant values some of its LIFO inventory at retail and the remainder at cost, identify which inventory items are valued under each method.

6 If changing to the IPIC method, attach a completed Form 970.

Part II Change in Pooling Inventories

1 If the applicant is proposing to change its pooling method or the number of pools, attach a description of the contents of, and state the base year for, each dollar-value pool the applicant presently uses and proposes to use.

2 If the applicant is proposing to use natural business unit (NBU) pools or requesting to change the number of NBU pools, attach the following information (to the extent not already provided) in sufficient detail to show that each proposed NBU was determined under Regulations sections 1.472-8(b)(1) and (2):

a A description of the types of products produced by the applicant. If possible, attach a brochure.

b A description of the types of processes and raw materials used to produce the products in each proposed pool.

c If all of the products to be included in the proposed NBU pool(s) are not produced at one facility, state the reasons for the separate facilities, the location of each facility, and a description of the products each facility produces.

d A description of the natural business divisions adopted by the taxpayer. State whether separate cost centers are maintained and if separate profit and loss statements are prepared.

e A statement addressing whether the applicant has inventories of items purchased and held for resale that are not further processed by the applicant, including whether such items, if any, will be included in any proposed NBU pool.

f A statement addressing whether all items including raw materials, goods-in-process, and finished goods entering into the entire inventory investment for each proposed NBU pool are presently valued under the LIFO method. Describe any items that are not presently valued under the LIFO method that are to be included in each proposed pool.

g A statement addressing whether, within the proposed NBU pool(s), there are items both sold to unrelated parties and transferred to a different unit of the applicant to be used as a component part of another product prior to final processing.

3 If the applicant is engaged in manufacturing and is proposing to use the multiple pooling method or raw material content pools, attach information to show that each proposed pool will consist of a group of items that are substantially similar. See Regulations section 1.472-8(b)(3).

4 If the applicant is engaged in the wholesaling or retailing of goods and is requesting to change the number of pools used, attach information to show that each of the proposed pools is based on customary business classifications of the applicant's trade or business. See Regulations section 1.472-8(c).

Schedule D—Change in the Treatment of Long-Term Contracts Under Section 460, Inventories, or Other Section 263A Assets (see instructions)

Part I Change in Reporting Income From Long-Term Contracts (Also complete Part III on pages 7 and 8.)

1 To the extent not already provided, attach a description of the applicant's present and proposed methods for reporting income and expenses from long-term contracts. Also, attach a representative actual contract (without any deletions) for the requested change. If the applicant is a construction contractor, attach a detailed description of its construction activities.

2a Are the applicant's contracts long-term contracts as defined in section 460(f)(1) (see instructions)? ☐ Yes ☐ No

b If "Yes," do all the contracts qualify for the exception under section 460(e) (see instructions)? ☐ Yes ☐ No
If line 2b is "No," attach an explanation.

c Is the applicant requesting to use the percentage-of-completion method using cost-to-cost under Regulations section 1.460-4(b)? ☐ Yes ☐ No

d If line 2c is "Yes," in computing the completion factor of a contract, will the applicant use the simplified cost-to-cost method described in Regulations section 1.460-5(c)? ☐ Yes ☐ No

e If line 2c is "No," is the applicant requesting to use the exempt-contract percentage-of-completion method under Regulations section 1.460-4(c)(2)? ☐ Yes ☐ No
If line 2e is "Yes," attach an explanation of what method the applicant will use to determine a contract's completion factor.
If line 2e is "No," attach an explanation of what method the applicant is using and the authority for its use.

3a Does the applicant have long-term manufacturing contracts as defined in section 460(f)(2)? ☐ Yes ☐ No

b If "Yes," attach a description of the applicant's manufacturing activities, including any required installation of manufactured goods.

4a Does the applicant enter into cost-plus long-term contracts? ☐ Yes ☐ No

b Does the applicant enter into federal long-term contracts? ☐ Yes ☐ No

Part II Change in Valuing Inventories Including Cost Allocation Changes (Also complete Part III on pages 7 and 8.)

1 Attach a description of the inventory goods being changed.

2 Attach a description of the inventory goods (if any) NOT being changed.

3a Is the applicant subject to section 263A? If "No," go to line 4a ☐ Yes ☐ No

b Is the applicant's present inventory valuation method in compliance with section 263A (see instructions)? If "No," attach a detailed explanation ☐ Yes ☐ No

4a Check the appropriate boxes in the chart.

	Inventory Method Being Changed		Inventory Method Not Being Changed
	Present method	Proposed method	Present method
Identification methods:			
Specific identification	☐	☐	☐
FIFO	☐	☐	☐
LIFO	☐	☐	☐
Other (attach explanation)	☐	☐	☐
Valuation methods:			
Cost	☐	☐	☐
Cost or market, whichever is lower	☐	☐	☐
Retail cost	☐	☐	☐
Retail, lower of cost or market	☐	☐	☐
Other (attach explanation)	☐	☐	☐
b Enter the value at the end of the tax year preceding the year of change.	$	$	

5 If the applicant is changing from the LIFO inventory method to a non-LIFO method, attach the following information (see instructions).

a Copies of Form(s) 970 filed to adopt or expand the use of the method.

b **Only for applicants requesting a non-automatic change.** A statement describing whether the applicant is changing to the method required by Regulations section 1.472-6(a) or (b), or whether the applicant is proposing a different method.

c **Only for applicants requesting an automatic change.** The statement required by section 23.01(5) of Rev. Proc. 2022-14 (or its successor).

6 Is the applicant presently using the AFS cost offset method as described in Regulations section 1.451-3(c) and/or the advance payment cost offset method described in Regulations section 1.451-8(e), or is the applicant changing to such methods for the same year of change as the requested change in inventory method? If "Yes," see the instructions for rules regarding concurrent changes ☐ Yes ☐ No

Part III Method of Cost Allocation (Complete this part if the requested change involves either property subject to section 263A or long-term contracts as described in section 460.) See instructions.

Section A—Allocation and Capitalization Methods

Attach a description (including sample computations) of the present and proposed method(s) the applicant uses to capitalize direct and indirect costs properly allocable to real or tangible personal property produced and property acquired for resale, or to allocate direct and indirect costs required to be allocated to long-term contracts. Include a description of the method(s) used for allocating indirect costs to intermediate cost objectives such as departments or activities prior to the allocation of such costs to long-term contracts, real or tangible personal property produced, and property acquired for resale. The description must include the following:

1 The method of allocating direct and indirect costs (for example, specific identification, burden rate, standard cost, or other reasonable allocation method).

2 The method of allocating mixed service costs (for example, direct reallocation, step-allocation, simplified service cost using the labor-based allocation ratio, simplified service cost using the production cost allocation ratio, or other reasonable allocation method).

3 Except for long-term contract accounting methods, the method of capitalizing additional section 263A costs (for example, simplified production with or without the historic absorption ratio election, modified simplified production with or without the historic absorption ratio election, simplified resale with or without the historic absorption ratio election including permissible variations, the U.S. ratio, or other reasonable allocation method).

Section B—Direct and Indirect Costs Required To Be Allocated

Check the appropriate boxes showing the costs that are or will be fully included, to the extent required, in the cost of real or tangible personal property produced or property acquired for resale under section 263A or allocated to long-term contracts under section 460. Mark “N/A” in a box if those costs are not incurred by the applicant. If a box is not checked, it is assumed that those costs are not fully included to the extent required. Attach an explanation for boxes that are not checked.

		Present method	Proposed method
1	Direct material		
2	Direct labor		
3	Indirect labor		
4	Officers’ compensation (not including selling activities)		
5	Pension and other related costs		
6	Employee benefits		
7	Indirect materials and supplies		
8	Purchasing costs		
9	Handling, processing, assembly, and repackaging costs		
10	Offsite storage and warehousing costs		
11	Depreciation, amortization, and cost recovery allowance for equipment and facilities placed in service and not temporarily idle		
12	Depletion		
13	Rent		
14	Taxes other than state, local, and foreign income taxes		
15	Insurance		
16	Utilities		
17	Maintenance and repairs that relate to a production, resale, or long-term contract activity		
18	Engineering and design costs (not including section 174 research and experimental expenses)		
19	Rework labor, scrap, and spoilage		
20	Tools and equipment		
21	Quality control and inspection		
22	Bidding expenses incurred in the solicitation of contracts awarded to the applicant		
23	Licensing and franchise costs		
24	Capitalizable service costs (including mixed service costs)		
25	Administrative costs (not including any costs of selling or any return on capital)		
26	Research and experimental expenses attributable to long-term contracts		
27	Interest		
28	Other costs (Attach a list of these costs.)		

Part III **Method of Cost Allocation** (*continued*) See instructions.

Section C—Other Costs Not Required To Be Allocated (Complete Section C only if the applicant is requesting to change its method for these costs.)

		Present method	Proposed method
1	Marketing, selling, advertising, and distribution expenses		
2	Research and experimental expenses not included in Section B, line 26		
3	Bidding expenses not included in Section B, line 22		
4	General and administrative costs not included in Section B		
5	Income taxes		
6	Cost of strikes		
7	Warranty and product liability costs		
8	Section 179 costs		
9	On-site storage		
10	Depreciation, amortization, and cost recovery allowance not included in Section B, line 11		
11	Other costs (Attach a list of these costs.)		

Schedule E—Change in Depreciation or Amortization (see instructions)

Applicants requesting approval to change their method of accounting for depreciation or amortization complete this section. Applicants ***must*** provide this information for each item or class of property for which a change is requested.

Note: See the ***Summary of the List of Automatic Accounting Method Changes*** in the instructions for information regarding automatic changes under sections 56, 167, 168, or 197, or former sections 168, 1400I, or 1400L. **Do not** file Form 3115 with respect to certain late elections and election revocations. See instructions.

1 Is depreciation for the property determined under Regulations section 1.167(a)-11 (CLADR)? ☐ **Yes** ☑ **No**
If "Yes," the only changes permitted are under Regulations section 1.167(a)-11(c)(1)(iii).

2 Is any of the depreciation or amortization required to be capitalized under any Code section, such as section 263A? ☐ **Yes** ☑ **No**
If "Yes," enter the applicable section ____________

3 Has a depreciation, amortization, expense, or disposition election been made for the property, such as the election under sections 168(f)(1), 168(i)(4), 179, 179C, or Regulations section 1.168(i)-8(d)? ☐ **Yes** ☑ **No**
If "Yes," state the election made ____________

4a Attach a statement describing the property subject to the change. Include the property's description, type, placed-in-service year, and use in the applicant's trade or business or income-producing activity. Also include the type and amount of any federal tax credit claimed or grant received, along with any necessary adjustments to basis required under the Internal Revenue Code, with respect to the property.

b If the property is residential rental property, did the applicant live in the property before renting it? ☐ **Yes** ☐ **No**

c Is the property public utility property? ☐ **Yes** ☑ **No**

5 To the extent not already provided in the applicant's description of its present method, attach a statement explaining how the property is treated under the applicant's present method (for example, depreciable property, inventory property, supplies under Regulations section 1.162-3, nondepreciable section 263(a) property, property deductible as a current expense, etc.).

6 If the property is not currently treated as depreciable or amortizable property, attach a statement of the facts supporting the proposed change to depreciate or amortize the property.

7 If the property is currently treated and/or will be treated as depreciable or amortizable property, provide the following information for both the present (if applicable) and proposed methods:

a The Code section under which the property is or will be depreciated or amortized (for example, section 168(g)).

b The applicable asset class from Rev. Proc. 87-56, 1987-2 C.B. 674, for each asset depreciated under section 168 (MACRS) or under former section 1400L; the applicable asset class from Rev. Proc. 83-35, 1983-1 C.B. 745, for each asset depreciated under former section 168 (ACRS); an explanation why no asset class is identified for each asset for which an asset class has not been identified by the applicant.

c The facts to support the asset class for the proposed method.

d The depreciation or amortization method of the property, including the applicable Code section (for example, 200% declining balance method under section 168(b)(1)).

e The useful life, recovery period, or amortization period of the property.

f The applicable convention of the property.

g Whether the additional first-year special depreciation allowance (for example, as provided by section 168(k), 168(l), 168(m), or former section 168(n), 1400L(b), or 1400N(d)) was or will be claimed for the property. If not, also provide an explanation as to why no special depreciation allowance was or will be claimed.

h Whether the property was or will be in a single asset account, a multiple asset account, or a general asset account.

Applicant Name: Fairfax Genesee Partners & Associates LP
Filer Name: Fairfax Genesee Partners & Associates LP
Tax Year: 2025
Federal EIN: 11-3233403

This 3115, Application for Change in Accounting Method is filed to change our tax method regarding the treatment of certain asset class lives. The applicable automatic method change is method change #7, Impermissible to permissible method of accounting for depreciation or amortization. This form is filed in accordance with Rev. Proc. 2024-23, Section 6.01, which is titled “Impermissible to permissible method of accounting for depreciation or amortization.”

Request to Fax Documents:

In accordance with the requirements of Rev. Proc. 2016-1, Section 9.04(3), please fax any requests for additional information to our taxpayer’s representative: Cost Segregation Services, LLC. at: 866-277-1569

Part II, Question 11a: “Has the applicant, its predecessor, or a related party requested or made (under either an automatic change procedure or non-automatic change procedure) a change in method of accounting within the past 5 years ending with the year of change?”

No

Part II, Question 11b: If “Yes,” for each trade or business, attach a description of each requested change in method of accounting (including the year of change) and state whether the applicant received consent:

N/A

Part II, Question 14: If the applicant is either (i) not changing its overall method of accounting, or (ii) changing its overall method of accounting and changing to a special method of accounting for one or more items, attach a detailed and complete description for each of the following:

As required by Rev Proc. 2024-23, Section 6.01(3)(b), the taxpayer includes the following statements:

Part II, Question 14a: The item being changed:
Depreciation (method/class life/convention) for assets placed in service in prior periods.

Part II, Question 14b: The applicant’s present method for the item being changed**:**

The taxpayer is changing/correcting its method of accounting for depreciation for certain assets from MACRS incorrect class lives to the MACRS proper class lives, specifically changing the class life to correspond with an engineering-based cost segregation study and as a result from claiming less than the depreciation allowable based on the study to claiming the depreciation allowable. The taxpayer is correcting class lives of certain assets from impermissible class lives to correct permissible class lives as specified by Rev. Proc 87-56 and based on the cost segregation study. The assets described represent depreciable property that is currently depreciated using depreciation methods, conventions, and recovery periods that are inconsistent with those specified in §168 and Rev. Proc. 87-56. The Taxpayer proposes to depreciate such assets using the correct depreciation methods, conventions, and recovery periods specified in §168 and Rev. Proc. 87-56.The attached depreciation schedules which detail all of the present and proposed methods.

Part II, Question 14c: The applicant's proposed method for the item being changed:
The taxpayer proposes to correct the previously reported class lives for the assets detailed above and employ the correct asset class lives in accordance with the findings of the cost segregation studies and in accordance with Rev. Proc 87-56.

Part II, Question 14d: The applicant's present overall method of accounting:
It is the accrual method.

Part II, Question 15a: Attach a detailed and complete description of the applicant's trade(s) or business(es):

The taxpayer has one trade or business, and it is in the business of leasing Residential Rental Property which is listed under Rev. Proc. 87-56 as activity 57.0 Distributives Trades and Services, and the principal business activity code is 531110.

Part II, Question 15b: If the applicant has more than one trade or business as defined in Regulations section §1.446-1(d), describe: (i) whether each trade or business is accounted for separately; (ii) the goods and services provided by each trade or business and any other types of activities engaged in that generate gross income; (iii) the overall method of accounting for each trade or business; and which trade or business is requesting to change its accounting method as part of this application or a separate application:

The taxpayer has only one trade or business described above – leasing Residential Rental Property.

Part II, Question 16 (a,b & c): Attach a full explanation of the legal basis supporting the proposed method for item being changed:

Generally, taxpayers are allowed deductions for all ordinary and necessary business expenses [IRC §162]. Depreciation and amortization are the permissible method for deducting exhaustion and cost recovery of tangible and intangible assets, respectively [IRC §§ 167 & 197]. IRC §263 capital asset depreciation and intangible asset amortization are required methods of accounting, and "allowed or allowable" cost recovery must be taken on capital items under IRC §1016 and Reg 1.1016-3. Allowable cost recovery is the deductible amount calculated using legally prescribed methods, conventions, and recovery periods [IRC §1016(a)(2)].

IRC §§ 167 and 168 set forth methods of depreciation. IRC §167 refers to useful-life depreciation of non-MACRS property, and IRC §168 refers to cost recovery depreciation of MACRS property. Applicable depreciation convention is determined in consideration of when the asset was placed in service during the year [IRC §§ 168(d)]. Asset classes and recovery periods are determined under Rev Proc 87-56 based on the type-of-asset and type-of-activity of the item.

Specifically, the asset items, which are the subject of this accounting method change, are ordinary and necessary expenses under IRC §162 used in connection with the applicant's business activity [Rev Proc 87-56, activity 57.0]. These tangible and intangible assets are property subject to the "allowed or allowable" rules of §1016. Reg 1.1016-3(h) states that a taxpayer's lifetime income is not permanently affected by the "allowed or allowable" rule, meaning an accounting method change under IRC §446(e) is permitted for correcting (a) underdepreciated assets via Rev Proc 2007-16, or (b) impermissible depreciation or amortization under Rev Proc. 2024-23. The applicant wishes to secure automatic consent of the Commissioner under Reg 1.446-1(e)(2) to change currently used impermissible methods of accounting to permissible methods of accounting under Rev Proc. 2024-23, §6.01 and the applicable §167 and §197 rules of recovery under Rev Proc 87-56 and IRC §§ 167, 168, 195, 197, 248 and their regulations. An adjustment for depreciation timing differences is required for this change in accounting method under IRC §481(a). The applicant is authorized and required to use the proposed permissible methods of accounting under the authorities list in Line 16b and Rev Proc 87-56, activity 57.0.

The 446 regulations covering impermissible to permissible method changes provide the legal basis supporting the proposed method(s) being changed.

STATEMENT OF THE FACTS AND LAWS SUPPORTING PROPERTY CLASSIFICATION: In a landmark decision, the Tax Court ruled that, to the extent tangible personal property is included in an acquisition or in overall costs, it should be treated as such for depreciation purposes. The court also decided that the rules for determining whether property qualifies as tangible personal property for purposes of ITC (under pre-1981 tax law) are also applicable to determining depreciation under current law. See Hospital Corporation of America, 109 T.C. 21 (1997). The Service acquiesced to the use of ITC rules for distinguishing § 1245 property from § 1250 property in AOD-1999-008. Supporting laws and other documents include: Treas. Reg.§§ 1.48-1(c)-(e); Whiteco Industries, Inc. v. Commissioner, 65 T.C. 664 (1975). Also note that there were no prior written agreements allocating the purchase price of the taxpayer's building units of property amount acquired 1250 nor 1245 assets as was present in Peco Foods, Inc. v. Commissioner, T.C. Memo. 2012-018, aff'd 522 Fed. Appx. 840 (11th Cir. 2013).

STATEMENT BY TAXPAYER: "Each item of depreciable property that is the subject of the application filed under section 6.01 of the APPENDIX of Rev. Proc. 2024-23, for the year of change beginning 1-1-2024, and that is reclassified from qualified leasehold improvement property to an asset class of Rev. Proc. 87-56, 1987- 2 C.B. 674, Activity 57.0 that does not explicitly include § 1250 property, is § 1245 property for depreciation purposes."

Part II, Question 17: Will the proposed method of accounting be used for the applicant's books and records and financial statements?

Yes

Part IV, Question 26: Section 481(a) Adjustment: The method change revenue procedure does require the change to be implemented under a 481(a) adjustment:

The §481(a) adjustment has been computed as the difference between the amount of depreciation computed for the taxable years prior to the year of change under the Taxpayer's present method of accounting and the amount of depreciation that would have been claimed for the taxable years prior to the year of change under the Taxpayer's proposed method of accounting, assuring that there are no omissions or duplications of income or expense, resulting in a negative §481(a) adjustment. The § 481(a) adjustment provided is based on this premise. The negative § 481(a) will be recognized in full in the year of change and the calculations result in a total negative 481(a) adjustment of ($144,998).

The description and details of the assets to which this change applies are the following:

Category: building components; See Cost Segregation Study Cost Detail report for taxpayer description of assets with original costs of $163,090 ; see depreciation schedule for date placed in service, accumulated depreciation, etc. These assets were depreciated over a 27.5 year life and should have been depreciated over a 5-year life.

Category: site work / improvements; See Cost Segregation Study Cost Detail report for taxpayer description of assets with original costs of $20,066 ; see depreciation schedule for date placed in service, accumulated depreciation, etc. These assets were depreciated over a 27.5 year life and should have been depreciated over a 15-year life.

Bonus depreciation under section 168(k) was available or taken by the taxpayer on all of its qualifying property. The attached 481(a) adjustment calculation displays the class life of property to which bonus depreciation is applied. Therefore, the additional first year bonus depreciation is included in the accumulated depreciation balance through the end of 2024. Bonus depreciation rates include the following: 50% 100%

Total negative 481(a) adjustment resulting from the above class life changes is $144,998.

Part IV. Question 29: Is any part of the section 481(a) adjustment attributable to transactions between members of an affiliated group, a consolidated group, a controlled group, or other related parties?
No

Schedule E – Change in Depreciation or Amortization

3. Has a depreciation, amortization, expense, or disposition election been made for the property, such as the election under sections 168(f)(1), 168(i)(4), 179, 179C, or regulations section 1.168(i)-8(d)?

No

4a. To the extent not already provided, attach a statement describing the property being changed. Include in the description the type of property, the year the property was placed in service, and the property's use in the applicant's trade or business or income-producing activity:

The assets described represent depreciable property that is currently depreciated using depreciation methods, conventions, and recovery periods that are inconsistent with those specified in §168 and Rev. Proc. 87-56. The Taxpayer proposes to depreciate such assets using the correct depreciation methods, conventions, and recovery periods specified in §168 and Rev. Proc. 87-56. Attached is a schedule showing the type of fixed assets held by the Taxpayer as of December 31, 2023, and the proposed asset classification for each type of fixed asset.

5. To the extent not already provided in the applicant's description of its present method, attach a statement explaining how the property is treated under the applicant's present method (e.g., depreciable property, inventory property, supplies under Regulations section 1.162-3, nondepreciable section 263(a) property, property deductible as a current expense, etc.):

The taxpayer treats the property as depreciable property currently and will continue to do so after the change

6. If the property is not currently treated as depreciable or amortizable property, attach a statement of the facts supporting the proposed change to depreciate or amortize the property:

Not applicable to the taxpayer.

7. If the property is currently treated and/or will be treated as depreciable or amortizable property, provide the following information for both the present (if applicable) and proposed methods:

See attachment for details

7.a. The Code section under which the property is or will be depreciated or amortized (e.g., section 168(g)):

Under the taxpayers present accounting method, the property is being depreciated under Code Section 168(b)(3)(A) (straight-line method). Under the taxpayers proposed accounting method, the property would be depreciated under 168(b)(1)(A) and 168(b)(2)(A) (200% declining balance and 150% declining balance method and Straight-Line).

7.b. The applicable asset class from Rev. Proc. 87-56, 1987-2 C.B. 674, for each asset depreciated under section 168 (MACRS) or under section 1400L; the applicable asset class from Rev. Proc. 83-35, 1983-1 C.B. 745, for each asset depreciated under former section 168 (ACRS); an explanation why no asset class is identified for each asset for which an asset class has not been identified by the applicant:

Category: Building Components – 5 Yr.; original cost $163,090; date placed in service - See attachment for detail.

Category: Site Improvements – 15 Yr.; original cost $20,066; date placed in service - See attachment for detail.

The following are the asset classes in accordance with Rev. Proc. 87-56:

Building Components – 5 Yr., asset class 57.0, Distributive trades and services, assets used in wholesale and retail trade, recovery period per GDS of 5 years

Site/Land improvement – 15 Yr., asset class 00.3, recovery period per GDS of 15 years

The taxpayer’s activity is described in Rev. Proc. 87-56, 57.0, Distributive trades and professional services. All assets were used in that activity. The principal business activity code is 531110.

The assets reclassified as a result of the cost segregation studies.

7.c. The facts to support the asset class for the proposed method:
There are no additional facts to support the asset classes other than the plain and common definitions of these assets.

7.d. The depreciation or amortization method of the property, including the applicable Code section (e.g., 200% declining balance method under section 168(b)(1)):
Regular Tax - 200% DB pursuant to IRC 168(b)(1)(A) and 150% DB pursuant to IRC 168(b)(2)(A).
AMT - 150% DB pursuant to IRC 168(b)(2)(A) and 56(a)(1)(A)(ii)(I) and straight line pursuant to IRC 56(a)(1).

7.e. The useful life, recovery period, or amortization period of the property:

The properties recovery periods are listed below. These will be used for both regular tax and AMT purposes and are in accordance with the finding of the engineering-based cost segregation study on each building's unit of property.

5 years-Tangible Personal Property Components
15 years-Site Work/Improvements
27.5 years - Residential Rental Property

7.f. The applicable convention of the property:
The half-year, mid-month, and if applicable, mid-quarter, conventions apply to the property for regular tax and AMT.

7.g. A statement of whether or not the additional first-year special depreciation allowance (for example, as provided by section 168(k), 168(l), 168(m), 168(n), 1400L(b), or 1400N(d)) was or will be claimed for the property. If not, also provide an explanation as to why no special depreciation allowance was or will be claimed:

The special depreciation allowance was not taken at the time the taxpayer placed the property in service. The Taxpayer will deduct bonus depreciation related to assets that are qualified property under IRC §168(k)(2) and IRC §168(k)(5).

Each item of depreciable property that is the subject of the application filed under §6.01 of the APPENDIX of Rev. Proc. 2024-23, for the year of change beginning January 1, 2024, and that is reclassified from residential real property to an asset class of 57.0 that does not explicitly include §1250 property, is §1245 property for depreciation purposes.

7.h. Whether the property was or will be in a single asset account, a multiple asset account, or a general asset account:
The assets were all in a single asset account before and after the proposed method changes.

Additional information: The taxpayer agrees to the terms and conditions of Rev. Proc. 2015-13 and 2024-23 that are necessary or required to affect the method change which is the subject matter of this application.

As required by Rev. Proc. 2024-23, Section 6.01(3)(b), the taxpayer includes the following statements:

1. Detailed description of the former and new methods of accounting:

The taxpayer is changing/correcting its method of accounting for depreciation for certain assets (see attached schedules for details) from MACRS incorrect class lives of 27.5 to the MACRS proper class lives: 5yr and 15yr from claiming the incorrect depreciation amount to claiming the allowable depreciation per each class life. See attached prior and updated depreciation schedules for details of prior methods and lives.

The taxpayer is correcting class lives of certain assets from impermissible class lives to correct permissible class lives as specified by Rev. Proc. 87-56.

2. A statement of describing the taxpayer's business or income-producing activities. If the taxpayer has more than one business or income-producing activity, a statement describing the taxpayer's business or activity in which the item(s) of property at issue is primarily used by the taxpayer:

The taxpayer has one trade or business, and it is in the business of leasing Residential Rental Property which is listed under Rev. Proc. 87-56 as activity 57.0 Distributives Trades and Services, and the principal business activity code is 531110. All assets were used in that activity.

3. To the extent not provided elsewhere on the application, a statement of the facts and law supporting the new method of accounting, new classification of the item of property, and new asset class in, as appropriate, Rev. Proc. 87-56 or Rev. Proc. 83-35. If the taxpayer is the owner and lessor of the item of property at issue, the statement of the facts and law supporting the new asset class also must describe the business or income-producing activity in which that item of property is primarily used by the lessee:

This information was provided in Part II question 16 above. The taxpayer's activity is described in Rev. Proc. 87-56, activity 57.0, Distributive Trades and Services. All assets were used in that activity.

4. To the extent not provided elsewhere on the application, a statement identifying the year in which the item of property was placed in service by the taxpayer:

See attached detailed schedules for dates of assets placed in service that are subject to this method change.

5. If any item of property is public utility property within the meaning of §168(i)(10) or former § 167(I)(3)(A) , as applicable, a statement providing that the taxpayer agrees to certain additional terms and conditions (see Appendix 6.01(3)(b)(v) for the listing of these items):

N/A

6. If the taxpayer is changing the classification of an item of § 1250 property placed in service after August 19, 1996, to a retail motor fuels outlet under §168(e)(3)(E)(iii) , a statement containing the following representation: “For purposes of § 168(e)(3)(E)(iii) of the Internal Revenue Code, the taxpayer represents that (A) 50 percent or more of the gross revenue generated from the item of § 1250 property is from the sale of petroleum products (not including gross revenue from related services, such as the labor cost of oil changes and gross revenue from the sale of nonpetroleum products such as tires and oil filters), (B) 50 percent or more of the floor space in the item of property is devoted to the sale of petroleum products (not including floor space devoted to related services, such as oil changes and floor space devoted to nonpetroleum products such as tires and oil filters), or (C) the item of § 1250 property is 1,400 square feet or less.”:

This is not applicable to the taxpayer

7. If the taxpayer is changing the classification of an item of property from § 1250 property to § 1245 property under § 168 or former § 168 , a statement of the facts and law supporting the new § 1245 property classification, and a statement containing the following representation: “Each item of depreciable property that is the subject of the application filed under section 6.01 of the APPENDIX of Rev. Proc. 2024-23 for the year of change beginning 1/1/2024 , and that is reclassified from : residential rental property [27.5 year property] to an asset class of either: Rev. Proc. 87-56 , 1987-2 C.B. 674, or Rev, Proc, 83-35 , 1983-1 C.B. 745 that does not explicitly include § 1250 property, is § 1245 property for depreciation purposes.:

See Attachment for details if applicable.

Fairfax Genesee Partners & Associates LP

11-3233403

Attachment to Form 3115

Calculation of 481(a) Adjustment - Regular Tax

Fairfax Genesee Partners & Associates LP
As previously filed

11-3233403
FYE: 12/31/2024

Asset	d t	Property Description	Date In Service	Tax Cost	Sec 179 Exp Current = c		Tax Bonus Amt	Tax Prior Depreciation	Tax Current Depreciation	Tax End Depr	Tax Net Book Value	Tax Method	Tax Period
1		17- Building & Improvements	7/01/17	23,000.00	0.00		0.00	5,436.00	837.00	6,273.00	16,727.00	S/L	27.5
2		21 - Building Step 754 Election	4/10/20	726,135.00	0.00		0.00	99,018.00	26,405.00	125,423.00	600,712.00	S/L	27.5
3		22 - Building Improv 754 Step Up election	4/10/20	70,021.00	0.00		0.00	9,725.00	2,594.00	12,319.00	57,702.00	S/L	27.5
4		24 - Appliances & Equip Stepup 754 election	4/10/20	5,684.00	0.00		5,684.00	5,684.00	0.00	5,684.00	0.00	200DB	3.0
			Grand Total	824,840.00	0.00	c	5,684.00	119,863.00	29,836.00	149,699.00	675,141.00		

Fairfax Genesee Partners & Associates LP
After Cost Segregation Correction

11-3233403
FYE: 12/31/2024

Asset	d t	Property Description	Date In Service	Tax Cost	Sec 179 Exp Current = c		Tax Bonus Amt	Tax Prior Depreciation	Tax Current Depreciation	Tax End Depr	Tax Net Book Value	Tax Method	Tax Period
1		17- Building & Improvements - 5yr	7/01/17	4,419.59	0.00		2,209.80	4,419.59	0.00	4,419.59	0.00	200DB	5.0
2		17- Building & Improvements - 15yr	7/01/17	563.40	0.00		281.70	422.02	16.63	438.65	124.75	150DB	15.0
3		17- Building & Improvements - 27.5yr	7/01/17	18,017.01	0.00		0.00	4,231.24	655.16	4,886.40	13,130.61	S/L	27.5
4		21 - Building Step 754 Election - 5yr	4/10/20	139,531.13	0.00		139,531.13	139,531.13	0.00	139,531.13	0.00	200DB	5.0
5		21 - Building Step 754 Election - 15yr	4/10/20	17,787.23	0.00		17,787.23	17,787.23	0.00	17,787.23	0.00	150DB	15.0
6		21 - Building Step 754 Election - 27.5yr	4/10/20	568,816.64	0.00		0.00	76,704.06	20,684.24	97,388.30	471,428.34	S/L	27.5
7		22 - Building Improv 754 Step Up election -5	4/10/20	13,454.95	0.00		13,454.95	13,454.95	0.00	13,454.95	0.00	200DB	5.0
8		22 - Building Improv 754 Step Up election -15	4/10/20	1,715.22	0.00		1,715.22	1,715.22	0.00	1,715.22	0.00	150DB	15.0
9		22 - Building Improv 754 Step Up election -27	4/10/20	54,850.83	0.00		0.00	7,396.56	1,994.58	9,391.14	45,459.69	S/L	27.5
10		24 - Appliances & Equip Stepup 754 election - 5yr	4/10/20	5,684.00	0.00		5,684.00	5,684.00	0.00	5,684.00	0.00	200DB	5.0
			Grand Total	824,840.00	0.00	c	180,664.03	271,346.00	23,350.61	294,696.61	530,143.39		

Section 481(a) Adjustment

Depreciation reported previously	$	149,699.00
Cost Segregation Corrected Depreciation	$	294,696.61
Section 481(a) Adjustment	$	(144,997.61)

Fairfax Genesee Partners & Associates LP

11-3233403

Attachment to Form 3115

Calculation of 481(a) Adjustment - AMT

Fairfax Genesee Partners & Associates LP
As previously filed - AMT

11-3233403
FYE: 12/31/2024

Asset	d t	Property Description	Date In Service	AMT Cost	AMT Sec 179 Exp	c	AMT Bonus Amt	AMT Prior Depreciation	AMT Curr Depreciation	AMT End Depr	AMT Net Book Value	AMT Method	AMT Period
1		17- Building & Improvements	7/01/17	23,000.00	0.00		0.00	5,436.00	837.00	6,273.00	16,727.00	S/L	27.5
2		21 - Building Step 754 Election	4/10/20	726,135.00	0.00		0.00	99,018.00	26,405.00	125,423.00	600,712.00	S/L	27.5
3		22 - Building Improv 754 Step Up election	4/10/20	70,021.00	0.00		0.00	9,725.00	2,594.00	12,319.00	57,702.00	S/L	27.5
4		24 - Appliances & Equip Stepup 754 election	4/10/20	5,684.00	0.00		5,684.00	5,684.00	0.00	5,684.00	0.00	200DB	3.0
			Grand Total	824,840.00	0.00	c	5,684.00	119,863.00	29,836.00	149,699.00	675,141.00		

Fairfax Genesee Partners & Associates LP
After Cost Segregation Correction - AMT

11-3233403
FYE: 12/31/2024

Asset	d t	Property Description	Date In Service	AMT Cost	AMT Sec 179 Exp	c	AMT Bonus Amt	AMT Prior Depreciation	AMT Curr Depreciation	AMT End Depr	AMT Net Book Value	AMT Method	AMT Period
1		17- Building & Improvements - 5yr	7/01/17	4,419.59	0.00		2,209.80	4,419.59	0.00	4,419.59	0.00	200DB	5.0
2		17- Building & Improvements - 15yr	7/01/17	563.40	0.00		281.70	422.02	16.63	438.65	124.75	150DB	15.0
3		17- Building & Improvements - 27.5yr	7/01/17	18,017.01	0.00		0.00	4,231.24	655.16	4,886.40	13,130.61	S/L	27.5
4		21 - Building Step 754 Election - 5yr	4/10/20	139,531.13	0.00		139,531.13	139,531.13	0.00	139,531.13	0.00	200DB	5.0
5		21 - Building Step 754 Election - 15yr	4/10/20	17,787.23	0.00		17,787.23	17,787.23	0.00	17,787.23	0.00	150DB	15.0
6		21 - Building Step 754 Election - 27.5yr	4/10/20	568,816.64	0.00		0.00	76,704.06	20,684.24	97,388.30	471,428.34	S/L	27.5
7		22 - Building Improv 754 Step Up election -5	4/10/20	13,454.95	0.00		13,454.95	13,454.95	0.00	13,454.95	0.00	200DB	5.0
8		22 - Building Improv 754 Step Up election -15	4/10/20	1,715.22	0.00		1,715.22	1,715.22	0.00	1,715.22	0.00	150DB	15.0
9		22 - Building Improv 754 Step Up election -27	4/10/20	54,850.83	0.00		0.00	7,396.56	1,994.58	9,391.14	45,459.69	S/L	27.5
10		24 - Appliances & Equip Stepup 754 election -	4/10/20	5,684.00	0.00		5,684.00	5,684.00	0.00	5,684.00	0.00	200DB	5.0
			Grand Total	824,840.00	0.00	c	180,664.03	271,346.00	23,350.61	294,696.61	530,143.39		

Section 481(a) AMT Adjustment

Depreciation reported previously	$	149,699.00
Cost Segregation Corrected Depreciation	$	294,696.61
Section 481(a) AMT Adjustment	$	(144,997.61)